

Confession of Judgment

Although it sounds like something out of a Law & Order episode, a **confession of judgment** is a clause written into a legal contract that allows one party to file a judgment against another party without allowing any argument.

This may seem abhorrent to most of us who believe in due process of law, but confessions of judgment are legal when they involve a debtor and a creditor. The clause allows the creditor to enter an immediate judgment against the debtor in the event of borrower default.